

EQUITY RESEARCH REPORT

RIVIAN AUTOMOTIVE, INC.

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Investment Thesis:

Rivian Automotive, Inc. is a promising long BUY opportunity supported by the launch of its new affordable vehicle and its accelerating transition to high-margin software and AI-defined revenue. Rivian is positioned to capitalize on the transition toward mass-market affordability with the launch of its R2 SUV in Q2 2026, priced at approximately \$45,000 and roughly half the cost to produce compared to the R1. This opens the total addressable EV market, larger than the premium segment the R1 was designed to serve. Over the past two years, Rivian has completed a meaningful financial transformation: gross profit turned positive for the first time in FY2025, improving from a - \$1.2 billion loss in FY2024 to +\$144 million. Additionally, Rivian's software and services segment more than tripled to \$1.56 billion and is projected to grow a further 60% in FY2026. This transformation is due to Rivian no longer simply being an automotive manufacturer, but also as an AI-defined vehicle platform. At its inaugural Autonomy & AI Day in December 2025, Rivian introduced its in-house RAP1 chip, a custom 5-nanometer processor designed to replace the Nvidia hardware currently used in its vehicles. The company also unveiled its Large Driving Model and Rivian Unified Intelligence platform, targeting Level 4 autonomous driving capability. The April 2026 launch of paid Autonomy + subscriptions marks the beginning of a recurring, high-margin revenue stream that compounds as the vehicle grows. This autonomous driving ambition received landmark commercial validation on March 19, 2026, when Uber announced an investment of up to \$1.25 billion in Rivian as part of a deal to deploy up to 50,000 Rivian robotaxis through 2031, confirming the market's confidence in Rivian's autonomy stack.

Trading Info:

- Currently trading at **\$ 15.43** (as of April 13, 2026)
- 33.48% RIVN CAGR vs 20% market CAGR
- Alpha Comparison to S&P 500 and NASDAQ:
 - **S&P 500:** RIVN +24% vs S&P 500 +14% over the past 12 months
 - **NASDAQ:** RIVN +24% vs NASDAQ composite approximately +35% over the past 12 months

Recent News:

- **March 19, 2026:** Uber Technologies said it would buy 10,000 R2 vehicles to carry passengers without drivers using software developed by Rivian. Uber said it could invest up to \$1.25 billion in Rivian through 2031 and buy another 40,000 vehicles.
- **March 12, 2026:** Rivian holds its full R2 reveal at SXSW, confirming first customer deliveries remain on track for Q2 2026. However, the \$45,000 base model will not be available until late 2027, with the launch edition performance models starting at a higher price point.
- **February 12, 2026:** Rivian releases Q4 and full-year 2025 financial results, reporting its first-ever annual gross profit of \$144 million.



BUSINESS OVERVIEW

Rivian Automotive, Inc., RIVN	
Exchange & Currency	Nasdaq (US Dollar \$)
Sector & Industry	Consumer Discretionary (Automobiles)
Recommendation	Long Buy
Current price	\$15.43
Target price	\$24
Market capitalization	\$18,972,000,000
Float & Liquidity	821.13m, Current Ratio: 1.8x, Quick Ratio: 2.3x
Major Shareholders	Amazon.com, Inc. (12.92%), VANGUARD GROUP INC (6.64%), BlackRock, Inc. (4.11%), BAILLIE GIFFORD & CO (3.57%)

The company primarily earns its revenue through its Automotive segment, which generated \$3.83 billion in FY2025. Its software and services segment has grown rapidly, from \$484 million in FY2024 to \$1.56 billion in FY2025, and is projected to reach \$2.5 billion in FY2026. Its main consumer products are the R1T electric pickup truck and the R1S electric SUV, both positioned as premium electric vehicles for outdoor and adventure use. Rivian sells these vehicles directly to customers rather than through traditional dealerships.

Another key part of the business is Rivian's commercial vehicle platform, which delivered approximately 9,500 electric vans in FY2025. The company produces electric delivery vans through a partnership with Amazon. This partnership provides Rivian with a large early customer and helps scale production of its commercial EV platform.

In addition to selling vehicles, Rivian generates revenues through its software and services segment, which includes vehicle software, autonomy features, software subscriptions, maintenance and repair services, financing, insurance, and accessories. Rivian also developed FleetOS in 2019, which is a fleet management platform that helps commercial customers manage their electric delivery vehicles. The platform was initially designed for Amazon through an exclusive deal with Amazon. However, after the deal with Amazon ended in February 2025, Rivian opened FleetOS to all business clients. Furthermore, Rivian is making significant investments in autonomous driving and artificial intelligence, having unveiled its proprietary Rivian Autonomy Processor (RAP1) and Large Driving Model (Rivian's AI-driven autonomous system) in December 2025, with its Autonomy+ subscription launching in April 2026. Rivian's software strategy also includes a \$5.8 billion joint venture with Volkswagen Group, through which Rivian supplies its electrical architecture and software technology stack for use across Volkswagen's future electric vehicle lineup.

To support its vehicles, Rivian is also building its own charging infrastructure, the Rivian Adventure Network, which is designed to enable long-distance travel for Rivian owners, similar to Tesla's charging network. Rivian's charging network currently spans North America but remains limited, and the company is actively working to expand its infrastructure. Overall, Rivian's business model is centered on selling electric vehicles while gradually building higher-margin revenue streams through software, services, and fleet management tools.

INDUSTRY OVERVIEW

The global EV industry is in a long-term growth phase, supported by electrification trends, technological improvements, and broader emissions policies. **However, the market is transitioning from a subsidy-driven expansion phase to a more competitive, capital-intensive environment.**

The competitive landscape is evolving beyond traditional EV metrics such as range, price, and production scale. The next phase of competition is increasingly centered on AI and autonomous driving capabilities, where long-term value

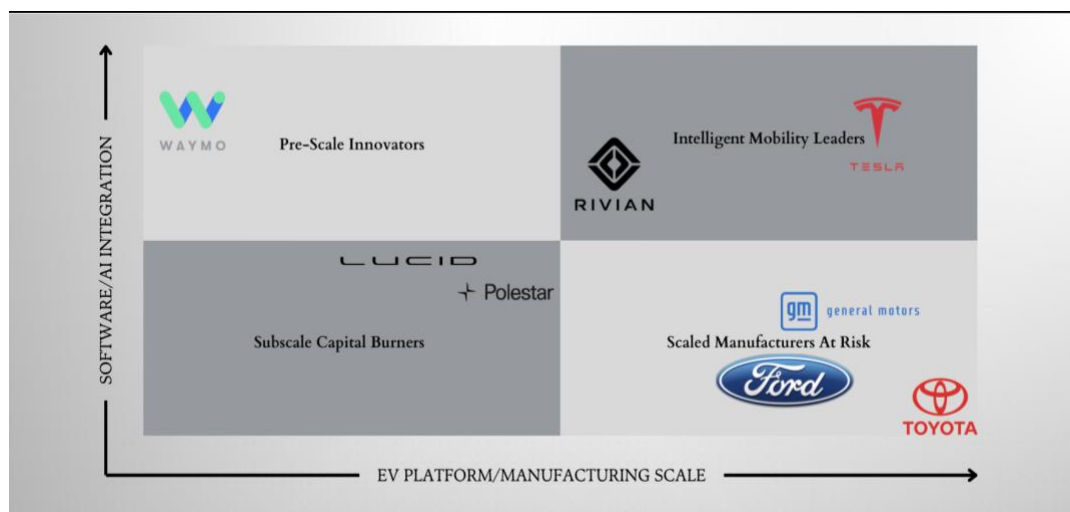


is expected to be driven by rather than hardware alone. Advancements in AI are accelerating the timeline for autonomous vehicles. The market is already live at scale (700k+ robotaxi rides/week globally per McKinsey's 2026 survey), with large-scale commercial deployment expected by 2030. The capital intensity required to achieve commercial readiness (McKinsey estimates \$3B+ in software investment alone for robotaxi deployment) means the competitive advantage is shifting to those who already possess the data scale and infrastructure to support such investment. Real-world fleet miles are the raw material; companies without scale at the data layer cannot efficiently convert that investment into a deployable system.

The shift is already reflected in market behavior. Tesla has maintained a premium valuation, trading with a P/S of 15, despite declining vehicle deliveries (volumes falling by around 9% YOY), as investors increasingly view the company as transitioning from an EV manufacturer into a fully-fledged AI company. While Tesla will not ditch EVs entirely, Elon Musk did recently announce that Tesla would soon discontinue their future is driven by its heavy investments and successes in AI technology. The market is assigning higher multiples to companies with credible self-driving and AI capabilities due to potential for high-margin revenue streams, including robotaxi services, software subscriptions, and data monetization. AI upside is a big reason why shares trade at nearly 15 times sales, while a traditional OEM like Toyota has a P/S of 0.89.

At the same time, traditional EV demand in North America has slowed following the expiration of the \$7,500 federal tax credit in September 2025. US EV market share fell from 8.7% in Q4 2024 to 5.7% in Q4 2025, nearly a one-third decline year-over-year, showing how much prior demand was subsidy-driven rather than organic. The impact on legacy OEMs has been immediate: Ford's quarterly EV sales fell approximately 50% year-over-year in Q4 2025 from Q4 2024, prompting the company to take a \$19.5B strategic write-down as it abandoned large EV programs including the electric F-150. General Motors followed a similar path, taking a \$1.6B hit as it scaled EV ambitions. Ford & Tesla's Capital is increasingly concentrated among players investing in next-generation AI-driven platforms showcasing the broader industry transition.

While the broader vehicle market is growing at approximately 1% CAGR, the global automotive software and electronics market is projected to reach \$519B by 2035, growing at 4.5% CAGR. Within that, ADAS and autonomous driving software is the fastest-growing segment, projected to expand at nearly 20% CAGR between 2025 and 2035, reaching \$50B. For the next generation of vehicles, the competitive advantage will increasingly lie in with the players who have the software and data capabilities to make that transition. Those who cannot make that transition, or cannot afford to make the transition, will be seen as not just behind, but obsolete.





COMPETITIVE POSITIONING

Rivian is not a legacy OEM pulling back from EVs, nor a pure-play autonomy company like Waymo. It is a company in transition. The near-term positioning lies in the R2. Priced at \$45,000 and targeting a far larger market than the R1, it is the vehicle that funds everything else, including long-term AI ambitions. Without a successful R2 ramp, the broader technology ambitions have no foundation. Alongside this, the \$5.8 billion Volkswagen JV validates Rivian's software stack as something other OEMs are willing to pay for, showing its technology has value beyond its own vehicles.

The licensing ambition became considerably more credible on March 19, 2026, when Rivian announced a partnership with Uber. Uber committed up to \$1.25B in milestone-linked capital and an initial order of 10,000 autonomous R2 robotaxis, with commercial deployments across 25 cities by 2031. Uber's CEO specifically cited Rivian's vertical integration and consumer data flywheel as the reason for the investment, the language of a platform bet, not a hardware order.

In terms of automation, Waymo is the technical leader with 450,000 paid rides weekly across 13 global cities but burns capital at a rate that needs Alphabet's balance sheet to survive, with \$1.43B in losses in Q3 2025 alone against a revenue run rate of just \$350M annually. Tesla has the data advantage, with 8.4 billion FSD miles accumulated, but its robotaxi operation remains in a single city with 44 vehicles. Rivian's bet is that the Uber partnership compresses the timeline between where it is today and where Waymo has spent years and billions of dollars reaching, by plugging into an existing distribution network of 150 million users.

INVESTMENT SUMMARY

TGR →	1.0%	1.5%	2.0%	2.5%	3.0%
9.7%	\$25	\$27	\$28	\$30	\$32
10.2%	\$23	\$25	\$26	\$28	\$29
10.7%	\$22	\$23	\$24	\$25	\$27
11.2%	\$20	\$21	\$22	\$23	\$25
11.7%	\$19	\$20	\$21	\$22	\$23

Rivian is in the middle of transitioning from a niche EV manufacturer into a software-defined autonomy platform, anchored by the R2 launch and validated by the March 2026 Uber partnership (\$1.25B milestone-linked, 10,000 robotaxis by 2028). The market is pricing Rivian as a struggling EV startup facing cash burn and delivery risk, missing that Rivian's business has undergone a fundamental transformation. Gross profit turned positive for the first time in FY2025, while software and services revenue tripled to \$1.56 billion. The R2 SUV opens a new addressable market that the R1 was unable to reach due to its more affordable pricing of approximately \$45,000. Rivian's balance sheet supports its growth with \$7.7 billion in liquidity, a \$5.8 billion Volkswagen joint venture, and a \$6.6 billion Department of Energy loan funding the Georgia gigafactory.



FINANCIAL ANALYSIS

INTRINSIC VALUATION (DCF)

Scenario assumptions		Bear	Base	Bull
		FY1 / FY2 / FY3	FY1 / FY2 / FY3	FY1 / FY2 / FY3
Revenue growth FY1 (%)	▼	20.0%	30.0%	40.0%
Revenue growth FY2 (%)		35.0%	50.0%	65.0%
Revenue growth FY3 (%)		25.0%	40.0%	55.0%
EBITDA margin FY1 (%)	▼	-25.0%	-18.0%	-12.0%
EBITDA margin FY2 (%)		-10.0%	-3.0%	3.0%
EBITDA margin FY3 (%)		-2.0%	5.0%	10.0%
Capex as % of revenue (%)	▼	25.0%	20.0%	15.0%
Terminal growth rate (%)	▼	1.5%	2.0%	2.5%
Exit EBITDA multiple (x)	▼	0.0x	7.5x	12.5x
Active →		← ACTIVE		

We project a 30% revenue growth in FY2026, driven by three factors. First, with the launch of the new R2, Rivian is expected to deliver 62,000 – 67,000 vehicles for 2026, representing a 50% increase from 42,247 in 2025. Our revenue projection increases to 50% in FY2027 as the \$45,000 base model R2 will only be launched in 2027. Our projected revenue growth includes the impact on demand for EV vehicles due to the removal of the federal tax credit in September 2025. Second, software and services revenue are projected to grow approximately 60% in 2026 due to continued Volkswagen Joint Venture milestone payments and the expected launch of paid Autonomy + Subscriptions in April 2026. Third, Uber announced a partnership with Rivian in March 2026, which includes a milestone-linked investment of \$1.25 billion tied to the deployment of up to 50,000 Rivian robotaxis through 2031. Additionally, we project that capex will decrease from 30% to 20% due to the launch of the new R2. This is consistent with NYU Professor Aswath Damodaran's observation that capital-intensive manufacturers require sustained reinvestment to support growth.

RELATIVE VALUATION

To evaluate Rivian's relative valuation, using EV/EBITDA wouldn't be reasonable as Rivian's EBITDA is currently negative and is expected to stay negative for the next two years. P/E is similarly excluded, given Rivian recorded a net loss of \$3.6 billion in FY2025. This causes the price-to-sales ratio to be the most appropriate relative valuation metric for Rivian. Based on a current capitalization of approximately \$19 billion and TTM total revenue of \$5.38 billion, Rivian trades at approximately 3.5x P/S, which is above the US auto industry average of 1.3x. Comparing Rivian to our peer group, Tesla trades at approximately 15.0x P/S on TTM revenue of \$94.8 billion and a market capitalization of approximately \$1.4 trillion. This is due to Tesla's significantly larger manufacturing scale, established profitability, and more mature software monetization. As Rivian's R2 volumes ramp and Autonomy+ subscriptions scale, we expect this gap to narrow over our projection window of seven years.

CROSS-CHECK AND RANGE

Our DCF analysis, based on a base-case WACC of 10.7% and a terminal growth rate of 2.0%, yields an implied share price of \$24, representing a 56.7% premium to the current trading price. The sensitivity analysis ranges the implied share price from \$19 to \$32, meaning the entire range is above the current share price, suggesting Rivian is undervalued.



Comparing this to other analysts, Yahoo Finance suggests a one-year implied share price of \$18, and Koyfin similarly shows a one-year implied share price of \$18.24. Our implied share price of \$24 is inflated compared to other analysts because it is derived from a seven-year forecast model spanning FY2026 – FY2032. This forecast model incorporates the revenue impact of the R2 launch, the Volkswagen joint venture milestone payments, the Uber robotaxi deployment ramping to 50,000 vehicles through 2031, and the compounding growth of Autonomy+ subscriptions.

FINANCIAL ANALYSIS

HISTORICAL PERFORMANCE

Year	Revenue	Revenue Growth	Gross Margin	EBITDA	Net Income
2021A	\$ 55.0m	-	-\$ 465.0m	-\$ 4,023.0m	-\$ 4,688.0m
2022A	\$ 1,658.0m	2,914 %	-\$ 3,123.0m	-\$ 6,204.0m	-\$ 6,752.0m
2023A	\$ 4,434.0m	167.43 %	-\$ 2,030.0m	-\$ 4,802.0m	-\$ 5,432.0m
2024A	\$ 4,970.0m	12.09 %	-\$ 1,200.0m	-\$ 3,658.0m	-\$ 4,747.0m
2025A	\$ 5,387.0m	8.39 %	\$ 144.0m	-\$ 2,801.0m	-\$ 3,646.0m

Rivian's revenue has grown from \$55 million in 2021 to \$5.4 billion in 2025, a nearly 100x increase in four years. Losses are decreasing across every metric, most notably gross margin, which turned positive for the first time in FY2025 at \$144 million, signaling an inflection in unit economics despite EBITDA and net income remaining deeply negative as the company continues to invest heavily in R2 development and manufacturing expansion.

FORECASTS

Year	Revenue	Revenue Growth	Gross Margin	EBITDA	Net Income
2026E	\$ 6,964.0m	-	\$ 461.0m	-\$ 940.6m	-\$ 3,776.1m
2027E	\$ 11,488.0m	65.0 %	\$ 1,464.0m	-\$ 113.6m	-\$ 3,144.2m
2028E	\$ 16,300.0m	41.9 %	\$ 2,402.0m	\$ 559.4m	-\$ 2,638.8m
2029E	\$ 20,375.0m	25.0 %	\$ 3,871.0m	\$ 1,944.0m	-\$ 1,406.4
2030E	\$ 24,450.0m	20.0 %	\$ 5,134.0m	\$ 3,129.2m	-\$ 350.8m
2031E	\$ 28,118.0m	15.0 %	\$ 6,424.0m	\$ 4,327.4m	\$ 719.5m
2032E	\$ 31,211.0m	11.0 %	\$ 7,719.0m	\$ 5,551.7m	\$ 1,641.9m

Our forecast for Rivian's financials reflects the compounding effect of the R2 launch and increasing software development. We believe revenue will increase from \$6.96 billion in FY2026 to \$31.2 billion by FY2032, while gross margin expands steadily from \$461 million to \$7.7 billion over the same period, thus turning EBITDA positive in FY2028 and accelerating to \$5.6 billion by FY2031. Net income will reach profitability in FY2031, marking the point at which Rivian's software and autonomy revenue streams will fully offset the capital intensity of its manufacturing operations.



INDUSTRY-SPECIFIC METRICS

	Rivian	EV Industry
Gross profit per vehicle	\$ 3,410	\$ 10,450 (Tesla)
Software/services revenue per vehicle	\$ 17,190 (excluding VW JV) \$ 36, 930 (total including VW JV)	\$ 2,060 (Tesla)
Automotive gross profit per vehicle	-\$ 10,230	\$ 8,900 (Tesla)

These metrics highlight the structural shift underway at Rivian, where software and services revenue per vehicle of \$17,190 (excluding Volkswagen joint venture) already exceeds Tesla's gross profit per vehicle of \$10,450. While Rivian's gross profit per vehicle of \$3,410 remains a fraction of Tesla's \$10,450, this figure represents a \$47,000 improvement from FY2023, when Rivian was losing approximately \$43,000 per vehicle delivered. As the R2 launch scales delivery volumes and Autonomy+ subscriptions compound across a growing fleet, we expect both metrics to converge meaningfully toward Tesla's levels within our projection window.

INVESTMENT RISKS

Operational: The R2 launch is the single biggest execution risk. The R1 ramp was plagued by supply chain disruptions severe enough to force a full production halt in 2022, and a motor component shortage in late 2024 directly caused a 31% year-over-year drop in Q4 deliveries. A two-quarter slip in the R2 ramp would break the Uber milestone payment schedule and pushed EBITDA breakeven from 2027 into 2028 or beyond. Any delays in the construction restart of the of the Georgia plant adds a second point of risk as it needs to be fully operational to fulfill the 10,000 Uber robotaxi order by 2028.

Financial: At \$1.7-1.9B in adjusted EBITDA losses annually, plus elevated capex for the Georgia plant and R2 tooling, the path to R2 profitability is tight. Additionally, only \$300M of the Uber \$1.25B is committed at signing as the rest is milestone-linked. If the autonomy stack underperforms, either technically or on timeline, that capital does not arrive, and Rivian cannot replace is easily in the current rate environment without significant dilution. Similarly, the initial \$1B equity Volkswagen tranche was tied to Rivian achieving positive gross profit (which it did in Q1 2025), but the remaining tranches have similar milestone dependencies.

External: Rivian raised 2025 capex by \$200M to \$1.8-1.9B, explicitly citing trade policy, while CEO RJ Scaringe flagged per-vehicle cost inflation of "a few thousand dollars". Additionally, batteries account for up to 40% of vehicle cost, and China's restriction on rare earth exports directly threaten the 50% BOM reduction that makes the R2 affordable. In terms of regulatory risk, the Uber deal assumes Rivian can launch unsupervised autonomous vehicles in San Fransico and Miami by 2028, yet neither state has a clear or predictable approval process for large scale Level 4 (High Driving Automation) which increases the risk of delays to commercial deployment.



ENVIRONMENTAL, SOCIAL, & GOVERNANCE

Pillar	Risks	Mitigants/Opportunities
Governance	CEO RJ Scaringe holds outsized control through a dual class share structure, limiting minority shareholder influence despite the company burning ~\$3.6bn annually. Additionally, Scaringe sold \$4M shares in January 2026, with additional planned sales from both him and CFO McDonough.	The \$5.8 billion Volkswagen deal includes up to \$3.5 billion in payments that are tied to performance milestones through 2027–28, meaning Rivian only receives a large portion of the funding if it delivers on key targets. This effectively brings in external discipline, helping offset its relatively weak internal governance. In addition, the 50/50 joint venture is led by co-CEOs who report to both companies, adding another layer of oversight and accountability that Rivian’s dual-class share structure would otherwise lack.
Environmental	Rivian’s batteries rely on lithium, nickel, and cobalt, whose extraction involves high emissions and water use. At the manufacturing level, Rivian reported 130,306 metric tons of Scope 1 and 2 emissions in 2022, with only 3.7% of electricity coming from renewables. While the company plans to increase renewable usage, its Illinois facility operates in a grid that is significantly more carbon-intensive than the US average, meaning emissions will remain elevated as production scales. In addition, Rivian lacks a clear large-scale battery recycling strategy, which creates future regulatory and reputation risk.	Every vehicle built at the Normal, IL facility is initially charged using 100% onsite renewable energy, and all charging across the Rivian Adventure Network is also matched with 100% renewable energy. The company has committed to cutting the carbon footprint of its vehicle in half by 2030. To support this, Rivian aims to use at least 70% recycled content in its steel and aluminum and to divert 90% of manufacturing waste away from landfills. If achieved, these targets would significantly reduce the environmental impact associated with production.
Social	Battery minerals, especially cobalt, are mainly sourced from regions with severe labor abuses. The DRC produces approximately 70% of the world’s cobalt, where an estimated 40,000 children work in mines, for less than \$2 a day. While Rivian’s Supplier Code of Conduct expects suppliers to not violate human rights, they still do not meet the UN Guiding Principles on Business and Human Rights.	By late 2024, Amazon had deployed over 20,000 Rivian electric delivery vans across more than 100 cities, with the fleet delivering over one billion packages in a single year which is a clear, scale example of Rivian’s role in enabling cleaner urban delivery. On the supply chain side, Rivian already follows an OECD-aligned framework for sourcing conflict minerals, which gives it a strong starting point. If the company moves toward full compliance with the UN Guiding Principles, it could turn what is currently a reputational risk into a competitive advantage as global



March 17, 2026

		regulations on supply chain transparency become stricter.
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Appendix

Figure 1. DCF Assumptions

Assumptions

Circular switch

On / off 1

Key assumptions

Last Historical FYE 31-Dec-25
Transaction date 17-Mar-26

Enterprise value calculation

Current share price (\$) 15.3
NOSH (m) 1,240.0
Market cap (\$mm) 18,972.0
Net debt / (cash) (\$mm) 0.2
Minority interests (\$mm) 28.0
Pension liability (\$mm) 0.0
Investment in associates (\$mm) 0.0

EV (\$mm) 19,000.2

Scenario selector

Base

Scenario assumptions	Bear	Base	Bull
	FY1 / FY2 / FY3	FY1 / FY2 / FY3	FY1 / FY2 / FY3
Revenue growth FY1 (%)	20.0%	30.0%	40.0%
Revenue growth FY2 (%)	35.0%	50.0%	65.0%
Revenue growth FY3 (%)	25.0%	40.0%	55.0%
EBITDA margin FY1 (%)	-25.0%	-18.0%	-12.0%
EBITDA margin FY2 (%)	-10.0%	-3.0%	3.0%
EBITDA margin FY3 (%)	-2.0%	5.0%	10.0%
Capex as % of revenue (%)	25.0%	20.0%	15.0%
Terminal growth rate (%)	1.5%	2.0%	2.5%
Exit EBITDA multiple (x)	0.0x	7.5x	12.5x
Active →	← ACTIVE		

Active scenario outputs

Revenue growth FY1 30.0%
Revenue growth FY2 50.0%
Revenue growth FY3 40.0%
EBITDA margin FY1 -18.0%
EBITDA margin FY2 -3.0%
EBITDA margin FY3 5.0%
Capex % of revenue 20.0%
Terminal growth rate 2.0%
Exit EBITDA multiple 7.5x



Figure 2. Company Forecasts

Rivian Automotive, Inc. - 7 Year Forecast

(\$ IN MILLIONS)

	7 Year Forecast						
	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E
Net revenue	6,964.0	11,488.0	16,300.0	20,375.0	24,450.0	28,118.0	31,211.0
YoY growth %		65.0%	41.9%	25.0%	20.0%	15.0%	11.0%
Cost of sales	(6,503.0)	(10,024.0)	(13,898.0)	(16,504.0)	(19,316.0)	(21,694.0)	(23,492.0)
Gross profit	461.0	1,464.0	2,402.0	3,871.0	5,134.0	6,424.0	7,719.0
Gross margin %	6.6%	12.7%	14.7%	19.0%	21.0%	22.8%	24.7%
Research & development	1,724.9	1,783.7	1,844.5	1,899.1	1,955.0	2,013.7	2,054.1
Marketing, selling & admin	2,264.2	2,487.5	2,732.7	2,869.9	2,991.0	3,090.6	3,152.3
Other operating charges	248.0	337.0	463.5	508.4	538.8	562.4	580.9
Operating income (EBIT)	-3,776.1	-3,144.2	-2,638.8	-1,406.4	-350.8	757.4	1,931.7
Operating margin %	-54.2%	-27.4%	-16.2%	-6.9%	-1.4%	2.7%	6.2%
Effective tax rate %	0.0%	0.0%	0.0%	0.0%	0.0%	5.0%	15.0%
Net income	-3,776.1	-3,144.2	-2,638.8	-1,406.4	-350.8	719.5	1,641.9

EBITDA Bridge

Add back: D&A	1,011.0	1,238.0	1,437.0	1,620.0	1,780.0	1,900.0	1,980.0
Add back: Share-based comp	1,824.5	1,792.6	1,761.2	1,730.4	1,700.0	1,670.0	1,640.0

Adjusted EBITDA	-940.6	-113.6	559.4	1,944.0	3,129.2	4,327.4	5,551.7
EBITDA margin %	-13.5%	-1.0%	3.4%	9.5%	12.8%	15.4%	17.8%

Cash Flow Assumptions

Capex	1,983.0	2,176.0	1,898.0	2,038.0	2,200.0	2,249.0	2,184.0
Change in working capital	(139.0)	(230.0)	(326.0)	(408.0)	(489.0)	(440.0)	(373.0)

WACC Calculation

Cost of Equity (CAPM)

Risk-free rate	4.2%	10Y US Treasury yield
Equity risk premium	4.5%	Historical market premium
Beta (levered)	1.75	Levered equity beta
Cost of equity (Ke)	12.0%	$= R_f + \beta \times ERP$

Cost of Debt

Pre-tax cost of debt	6.2%
Marginal tax rate	21.0%
After-tax cost of debt (Kd)	4.9% $= K_d \times (1 - t)$

Capital Structure Weights

Equity weight (We)	80.7%
Debt weight (Wd)	19.3%

WACC	10.66%	$= K_e \times W_e + K_d(1-t) \times W_d$
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Figure 3: Historical & Forecast Financials

Rivian Automotive, Inc. — Historical & Forecast Financials

Statement (in \$mm)	Historical			Forecast						
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032
Revenue										
Revenue	15,854.8	18,975.8	19,887.8	19,854.8	19,854.8	19,854.8	19,854.8	19,854.8	19,854.8	19,854.8
% growth		19.7%	4.8%	0.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Cost of sales										
Cost of sales	21,854.8	21,875.8	21,854.8	21,854.8	21,854.8	21,854.8	21,854.8	21,854.8	21,854.8	21,854.8
COGS margin	(37.9%)	(15.7%)	(9.3%)	(9.3%)	(9.3%)	(9.3%)	(9.3%)	(9.3%)	(9.3%)	(9.3%)
Operating income	(6,000.0)	(2,900.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)
Operating margin	(37.9%)	(15.3%)	(10.1%)	(10.1%)	(10.1%)	(10.1%)	(10.1%)	(10.1%)	(10.1%)	(10.1%)
Operating expenses	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)
Other operating charges	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)
Revenue & Expenses										
Revenue	15,854.8	18,975.8	19,887.8	19,854.8	19,854.8	19,854.8	19,854.8	19,854.8	19,854.8	19,854.8
Expenses	(6,000.0)	(2,900.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)
Profit										
Profit	(1,145.2)	(1,024.2)	(78.2)	(1,145.2)	(1,145.2)	(1,145.2)	(1,145.2)	(1,145.2)	(1,145.2)	(1,145.2)
% operating margin	(7.2%)	(5.4%)	(0.4%)	(5.8%)	(5.8%)	(5.8%)	(5.8%)	(5.8%)	(5.8%)	(5.8%)
Operating & Financials										
Operating	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0
Financial	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)
Operating margin	(6.3%)	(5.3%)	(5.0%)	(5.0%)	(5.0%)	(5.0%)	(5.0%)	(5.0%)	(5.0%)	(5.0%)
Other non-operating items	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)



Figure 5: DCF Output

TGR →	1.0%	1.5%	2.0%	2.5%	3.0%
9.7%	\$25	\$27	\$28	\$30	\$32
10.2%	\$23	\$25	\$26	\$28	\$29
10.7%	\$22	\$23	\$24	\$25	\$27
11.2%	\$20	\$21	\$22	\$23	\$25
11.7%	\$19	\$20	\$21	\$22	\$23

Legend: Green = Upside Yellow = Base Red = Downside (Sell)

Figure 6. Comp Table

Comparable Companies Analysis

(\$ in millions, except per share)

Company	Ticker	Share Price	Market Cap	EV	EV / Revenue	EV / EBITDA	P/E	Rev Growth (%)	EBITDA Margin (%)
Lucid Group	LCID	\$9.69	3,349	7,090	5.2x	-2.3x	-3.6x	47.6%	-225.3%
MG Inc.	MG	\$6.03	15,250	15,793	1.3x	-2.1x	-3.9x	33.1%	-8.7%
XPEV	XPEV	\$20.09	19,180	16,593	1.7x	-6.9x	-8.7x	86.6%	283.2%
Li Auto	LI	\$18.24	18,620	8,790	0.4x	11.1x	118.1x	-22.3%	2.3%
Polestar	PSNY	\$17.03	1,939	6,650	2.7x	-0.6x	-3.1x	24.6%	-66.7%

Rivian	RIVN	\$15.33	15,872	15,899	1.4x	-2.6x	-5.6x	6.4%	-61.9%
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Peer Summary Statistics									
Mean					1.8x	-4.8x	27.8x	38.6%	-7.6%
Median					1.5x	-2.1x	-0.5x	33.1%	-8.7%
High					2.7x	11.1x	118.1x	86.6%	283.2%
Low					0.4x	-6.9x	-8.7x	-22.3%	-225.3%

Implied Valuation Cross-Check							
	Multiple applied	Your company metric	Implied EV	(-) EV bridge	Implied equity	Implied \$/share	
EV/Revenue (median)	1.5x	6,954	10,445	28	10,418	\$6.49	
EV/EBITDA (median)	-2.1x	-775	1,609	28	1,581	\$1.27	
P/E (median)	-0.5x	-\$3.07				\$1.45	

Valuation Summary			
	Method	Implied \$/share	vs. Current
	DCF (Perpetuity Growth)	\$23.97	56.7%
	Comps — EV/Revenue	\$6.49	-45.1%
	Comps — EV/EBITDA	\$1.27	-91.7%
	Comps — P/E	\$1.45	-90.5%
	Current share price	\$15.33	—